Trump’s Tariffs Are Back — And Crazier Than Ever

Podcast: prof G markets

AI Executive Summary

Core Thesis The episode highlights a period of intensifying volatility across global trade, corporate M&<0xA0>A, and technology financing. The central theme is the return of "chaos" to the markets, driven by aggressive new US tariff policies under the Trump administration, significant antitrust legal roadblocks for major media mergers (Paramount/Warner Bros. Discovery), and growing concerns regarding the sustainability of massive, debt-fueled investments in AI infrastructure.

Key Arguments & Data * Trade Policy & Tariffs: * New Tariff Impositions: The Trump administration has announced a 50% tariff on most Canadian goods and a 25% tariff on certain imports from Brazil; existing February tariffs are set to expire, creating uncertainty for importers. * **Section 338 Authority:** The administration is utilizing Section 338 of the Smoot-Hawley Tariff Act—a rarely used provision—to gain "flexible authority" to adjust rates at will, bypassing more structured investigative processes. * **Economic Impact:** While proponents argue tariffs protect domestic industry, independent studies suggest 85% to 95% of tariff costs are passed through to American consumers, contributing to inflationary pressures. * **Market Vitals & Macroeconomics: * Intel Performance:** Intel shares rose nearly 9% following the announcement of a significant headcount reduction. * **Interest Rates & Yields:** The 10-year Treasury yield reached its highest level in two months due to rising inflation expectations; CME Group data shows a 62% probability of a rate hike before 2027. * **Commodities:** Brent crude prices rose amid Middle East tensions and uncertainty regarding US-Iran negotiations. * **Media Merger Obstacles (Paramount/WBD): * Antitrust Litigation:** A judge issued a Temporary Restraining Order (TRO) pausing Paramount's $110 billion takeover of Warner Bros. Discovery, following lawsuits from 12 State Attorneys General alleging anti-competitive dominance in theatrical releases and cable TV. * **Financial Risk (Ticking Fees):** If the deal does not close by September 30, Paramount faces a "ticking fee" exceeding $600 million per quarter. * **Potential Remedies:** Industry insiders suggest that divesting assets like CNN could be a necessary concession to satisfy regulators and finalize the merger. * **AI Infrastructure & Debt Risks:** *

Oracle’s Debt Burden: Oracle is facing a $7 billion collateral demand in Wisconsin due to its heavy debt load; the company borrowed $43 billion for data centers over the last year despite a negative free cash flow of approximately $24 billion. * **The AI "Debt Bubble":** There is growing concern that the AI build-out is being funded by unprecedented levels of leverage rather than equity, with an estimated $489 billion in AI-related debt issued this year.

Actionable Takeaways * Monitor Trade Volatility: Investors should closely track upcoming tariff deadlines and US Trade Representative announcements, as sudden shifts in trade policy will directly impact the margins of companies reliant on international supply chains (specifically from Canada, Brazil, and Asia). * **Watch Media Sector Deadlines:** Pay close attention to the September 30 deadline for the Paramount/WBD merger. A failure to meet this date could lead to significant capital drains via "ticking fees" and increased volatility in media-related equities. * **Evaluate Tech Exposure to Interest Rates:** Given the rising 10-year Treasury yields and the high volume of debt used to fund AI infrastructure, investors should assess their exposure to "hyperscalers" (like Oracle) that may face rising borrowing costs and higher collateral requirements due to negative free cash flow. * **Prepare for Inflationary Headwinds:** With the possibility of rate hikes through 2027 and new tariffs potentially driving up consumer prices, portfolios should be reviewed for sensitivity to persistent inflation and higher-for-longer interest rate environments.

Full Transcript

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What else is happening? Just when you thought it was over, tariff chaos is back with a vengeance. Trump announced that the US would be imposing 50% tariffs on most Canadian goods next month, claiming that Canada had discriminated against US industries. Prime Minister Mark Carney said that he and Trump would accelerate trade talks before they take effect. Meanwhile, a 25% tariff on certain imports from Brazil takes effect today. And on Friday, the 10% tariffs the Trump administration imposed in February are due to expire. U.S. Trade Representative Jameson Greer said,

quote, we expect to see some action soon as the administration prepares a new round of replacement tariffs. So lots of tariff news to get into here. Joining us to discuss this news, we are speaking with Peter Harrell.

visiting scholar at the Institute of International Economic Law at Georgetown Law School. Peter, welcome back to the show. It's great to see you. Lots has happened here on the tariff front. It's a subject that we talked a lot about last year, stopped talking about for a while, I guess, because other stuff was happening. Now we're back to talking about it. What's happened with tariffs over the past six months? Thank you. Yeah, well, I think part of why we stopped talking about it was we all hoped that maybe Although Trump would maintain high tariffs he'd do so in a more orderly and disciplined fashion than he did last year and as we're seeing this week That's not really the case You know if you go back to February Trump lost a case at the Supreme Court where the Supreme Court ruled that the legal basis he'd been using for many of his tariffs last year was illegal and the Trump administration pivoted back in February to kind of a phase set of fallback tariff plans of the idea being first they'd have what's called a section 122 tariff, which would be in place from late February until Friday morning here in the east coast of the United States. And then they would have something called a 301 tariff that would come into place to kind of replace the 122 Friday morning as well. So they'd kind of pictured an orderly process. That's not where we are. Like although they'd signaled there'd be order, what we in fact have seen is the 122 is going to expire Friday morning. They've not yet finalized the successor tariff, the 301 tariff. Maybe they'll do that today. Maybe they'll do that tomorrow. If you are importing a product into the United States today from Asia or from Europe, you don't know what tariff rate you're going to pay on Friday at this point. So that's kind of chaotic data point number one. Chaotic data point number two is that Trump decided, as you said, Ed, yesterday that he wanted to impose 50 percent tariff.

on tens of billions of dollars of US imports from Canada, which is sort of allegedly over Canadian discrimination against the United States, using literally a provision of the Smoot-Hawley-Terra fact that may or may not still be on the books. Obviously, a piece of this is that he's trying to negotiate with Canada over a trade deal, and he wants to put pressure on

Canada, but that's sort of... chaotic piece number two, and then chaotic piece number three, as you say, is we have these tariffs on Brazil, which are kind of around the fact that Trump doesn't like Brazilian tech regulation, and he also doesn't like their online payment platform. And so he's threatening what is imposing tariffs on them as well, and probably more to come the way this is going.

So just to dial into the Canada tariffs for a moment, I mean, there are all of these different laws and these different sections of the law that he's using to enact these tariffs. You mentioned section 122, which we had and expires, and then maybe they were going to use 301. The Canada tariff, from my understanding, is using 338. I don't know what that means, but I have a quote from Scott Linceum of the Cato Institute who said that this is the quote, nuclear option. for Trump tariffs. Is that the right way to describe it? What is different about these tariffs versus the ones we've seen so far? So it's called Section 338 because it was Section 338 of the tariff act of 1930 better known as the smoot-holy tariff act. So he's literally using the smoot-holy tariff act here. This is a provision of law that actually has probably does not appear to have ever been used to impose tariffs before. I mean, since 1930 has never actually been used. It was used in 1935 and probably in the 1940s to threaten tariffs, but they were never actually imposed. So what Trump is doing here is dusting off this very old statute, which may or may not really be legally valid anymore because, as Scott said, what Trump wants is a flexible authority. The problem Trump has had with the 122 tariffs and with the 301 tariffs is they all require either investigations or they have like a limit on rates or they have all these constraints on them.

What Trump clearly likes, I think, about 338 is that it is, again, assuming it's still lawful, a very flexible law that he thinks just lets him say, Canada's discriminating against the United States up to 50% tariffs. So that's what he's reaching for is something that gives him that kind of flexibility that he so enjoys to put tariffs on on short notice at very high rates, sort of at his whim. Something I don't fully understand here. I mean, the Supreme Court literally said that the tariffs were illegal. That happened back in February. And since then, there have been a multitude of different ways by which Trump has continued to enact tariffs. And he's figured out multiple different loopholes or different sections of the law by which to do that. And here we

are, I mean, several months later, it's been over a year since the initial Liberation Day, tariffs are still in effect. And it seems as if he can just keep on doing this, I guess, keep on kicking the can down the road of just, oh, I'll use this section, I'll use this section, I'll use this section. And then I guess the Supreme Court has to play catch up. I mean, couldn't this go on for the next several years? Couldn't this just be the remainder of his presidency four years of tariffs? I mean, what is stopping him from continuing to do what he's doing?

Yeah, so I think you raise a very important point, Ed, which is that I think we are quite likely to see Trump continue to use lots of different tariff authorities. All of which have been and will be challenged in court, but his idea is to kind of run out the clock and kind of keep them going through throughout his term. And then, you know, somebody else can pick up the pieces afterwards if the courts, you know, much later rule all of these fallback tariffs unlawful as well. I mean, just to unpack that a little bit. So the first statute he used was this thing called IEPA, which actually didn't have the word tariff or duty or anything in it. It was kind of an emergency powers statute.

And that's the one that the Supreme Court ruled unlawful back in February. And so now, having lost the use of this emergency power statute that didn't have the word tariff or duty, now what he's doing is using different statutes that are definitely tariff statutes. You know, they contain the word tariff. You know, the president may impose tariffs, that kind of thing. Um, but that he is, he is using them in a different way and much more aggressively than they've ever been used before. And so now we are seeing law, you know, as he uses these other tariff statutes now, but uses them in these, you know, potentially unlawful ways. What we're seeing is lawsuits come to challenge them, but our court system, you know, Any lawsuit is going to take at least a year to go through the courts. And so he's just going to keep trying to play, play out the clock. Now, but this is where I find 338 and what he's doing on Canada kind of dangerous here, because one benefit that we had gotten from the Supreme Court decision in February is that Trump was not really turning tariffs off and on, on and off by whim. So he'd maintained a 10 percent tariff.

under 122, he has, you know, said that they're gonna maintain that under 301, but actually you hadn't seen a lot of changes and tariffs. You know, you actually didn't see many changes and actual tariff rates between February and this week because these other laws had required some process or had some limits. What he's trying to do with 338 is not only maintain high rates under these other statutes 301 and 222, but 338 is something that lets him kind of, you know, using a sharpie, turn the tariffs off and on again and bring that chaos back in addition to the high rates. We've actually had, as we talked about at the beginning Ed, you know, a couple of months without the chaos, even if the rates remained high.

Something I don't understand, and maybe you can help me with it, or maybe not, we'll see. Why is he doing this? Because as we've seen... through the multiple inflation reports that we've gotten over the past several months, where the inflation number goes higher. We had 3.5%, which, sure, it was lower than 4.2%, but the target rate for the Federal Reserve is 2%. We were hovering around that number. Then we slapped the tariffs on, we added a full percentage point to inflation. Then we invaded Iran and we blocked up the Strait of Hormuz, added a full percentage point of inflation, possibly higher. Now we're hovering around 4%. And this is the biggest problem for American households right now, which is inflation and its effect on the affordability crisis. And this is what people are so upset with him about. So I cannot, for the life of me, understand why he would, after it was ruled illegal by the Supreme Court, double down, not with 10%, with 50% on Canada. How do we even justify this?

Every independent study at least I've seen and suggests that, you know, something like 85% to 95% of these tariffs are being paid by Americans, either in the form of cost pass through to customers or by companies temporarily eating some of the cost. planning to pass it through, you know, on a go forward basis. So it's not really that the foreigners are paying most of these tariffs. We are definitely paying these tariffs. And as you say, inflation is front of mind. I think it's hard to explain this policy agenda other than the personality of Donald Trump. I think that there is you know, a substantial amount of support both in his administration and, you know, among some quarters in Washington for, you know, targeted tariffs to protect even fairly aggressively some specific industries here in the United

States. And I think you'd find broad support better or for worse, not saying I like the economics of it, but for, you know, more tariffs to protect the steelmaking industry, which he has done, or more tariffs to protect You know, maybe the auto industry again, I think what he's done is not actually been helpful to those industries But there is support for that concept. There's very little support for the depth and breadth of tariffs and the kind of rates we're now seeing on Canada other than that Donald Trump has loved tariffs personally since the 1980s. And what you are seeing is a presidentially driven objective here that his administration is implementing. And I do think it is coming from him because, you know, one thing we saw after the Supreme Court ruled the tariffs illegal back in February, and they started reimposing it. They actually reimposed them at lower rates, right? They had been an average rate of about 15% before the Supreme Court ruled the illegal. They brought back in 10%-ish tariffs. So I think some of his administration kind of gets what you're saying, Ed, and would like to see a bit of a decline in rates, but Trump clearly just wants more tariffs, and I think that is what we're going to see going forward, kind of despite the economic costs.

It seems as though this is kind of the blunt instrument he has found with which he can bludgeon people that he doesn't like, nations that he doesn't like, and in the process also bludgeon himself, or at least the American people. That seems to be what's happening. I mean, he said, I don't know what Canada's done wrong, but supposedly they have discriminated against the US. And this is his response. I mean, you say you think this will continue. To what extent? Do you think this will continue? Is this move the first of many tariff moves against individual nations over the next few months? Is this kind of the canary in the coal mine, I guess? Well, I am worried about that. I do think he likes the way he can bludgeon foreign governments. I also think we have to take seriously Ed that although every economist we can sit here we can read the studies that say the the americans are paying the tariffs i think trump may genuinely believe just wrongly that the foreigners pay the tariff i think we have to kind of take seriously he may just believe that although he's completely wrong um on it uh and he is uh you know as george w bush used to say the decider um so you know here we Here we are. I worry this is going to be the beginning of future moves. As I said, I think, you know, we had seen some efforts after the Supreme

Court loss by Jameson Greer as the U.S. Trade Representative and some of the other folks in the administration to have a, you know, somewhat more disciplined, just again, still kind of high rates, but somewhat more disciplined tariff process that was kind of like, okay, we're just going to have 10% on everybody. You might not like 10%, but it's kind of manageable. It's not higher than 10%. But Trump is clearly interested in getting back into the game of when he's mad at Europe because they won't support his Iran war, tariff Europe. He's clearly, you know, mad at Canada because it's not giving him what he wants on USMCA. But more than that, it's not becoming the 51st state, so tariff Canada. And I am worried that this is a harbinger of more chaos to come, although I hope I am wrong on that. All right. Peter Harrell is visiting scholar at the Institute of International Economic Law at Georgetown Law School. Peter, thank you so much for joining us. It's great to be on. Thank you. After the break, the Paramount Warner Brothers deal hits a snag. And for even more markets insights, you can subscribe to my weekly newsletter, simplyputt at simplyputt.prophetimedia.com.

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The pause lasts 14 days, but it doesn't end there. On August 3rd, the judge will hear arguments for a longer freeze, one that could last months. And if the deal doesn't close by September 30th, Paramount owes WBD a ticking fee of more than 600 million a quarter. On the news, both Paramount and Warner Brothers' discovery fell 3%. This development leaves investors asking a very important question. Is this deal ever going to close? To answer that question, we're speaking with Rohan Goswami, business reporter at SEM4. Rohan, great to see you. Paramount, Warner Brothers, the deal that we've been talking about for months, yet another roadblock. What's happening here? What do you make of it? It's why Costa Limone and Contesta Limone is so fun.

But because on one hand you've got Paramount, which has been quite resistant to the idea that they would be willing to spin off or sell any of these assets. And it is rapidly facing a reality that it might have to. As you point out, the TRO, the temporary restraining order, is only for 14 days. Now we could get a second one, it's another 14 days, but that's kind of a point. It brings us to this August 3rd showdown around this preliminary injunction, and that's really the whole battle. Because it's in that situation and in that hearings, the judge will decide whether the state's case has merit

or whether it doesn't. Now, it should be clear here whether or not the judge finds in favor or against Paramount or the states here. We are in for a long slog here. The question now becomes, is Paramount going to decide that it wants to spin off or sell some assets and make an offer to the states? Hey, maybe we'll get rid of a studio. Maybe we'll get rid of CNN. We'll get rid of some of the cable assets.

Or does it say, as it's intimated publicly and privately, that it's willing to take this fight to the Supreme Court? The Ellicens, of course, have a bottomless pocket, but even they don't want to be paying 600 million, maybe 1.2 billion if this stretches another quarter after this, if they can avoid it. Just looking at the list of IP that they would own. They would own, I mean, if this deal goes through, the Ellicens paramount, they would own HBO, CNN, TNT, TBS, they own all this IP like Harry Potter and TZ Comics, Game of Thrones. I mean, it's a lot of stuff. And it seems to be that seems to be the problem, really, at least in the lawsuit, that it's too much stuff. I mean, how much merit is there to the antitrust argument in the lawsuit? And would it be enough to say, OK, we'll shed this asset and this asset and we'll we'll take these other ones?

If you'd asked me my personal opinion, and this is, again, based on conversations with rival media executives with interest lawyers before the TRO was issued, I would have said, not much. This is a political suit. Bonta has cobbled together an interesting coalition of Democrats that oppose the steal for different reasons, whether it's David Ellison's ideology or they have a general hatred of monopolies and think all mergers are bad. This was a complicated group of people that came together to try to stop this lawsuit. Then came the judges ruling on Monday or on the TRO and she made an interesting series of points that seemed to suggest she's not really buying Paramount's arguments. If you're going on the clock, you remember that the state's made An argument that that paramount zeal would be anti competitive in three spots. So there's general theatrical release. That's all movies Then there's blockbuster theatrical releases, which was a new category that sort of raise some eyebrows How do you define a blockbuster? Are those really a thing anymore when like Hollywood can spend 200 million dollars on a movie and it's a flop And then cable news, cable TV, I should say, right? So these three categories are where Warner

was, the Warner Paramount combination was supposed to be anti-competitive. Didn't really buy that argument, the judge seems to have, and that's all that matters in the short term, right? Paramount, if they get a negative decision here that rules against them, is going to appeal. They're going to take this to the Supreme Court. I mean, David Ellison is indefatigable here. He is not going to give this up, but it's going to cost them. So then the question really becomes, at what point to go back to my previous point, at what point does Paramount try to cut their losses? Now, Rob Bonta has privately intimated, publicly denied intimating this, but it's privately intimated per puck that CNN divestiture would be enough potentially to stave off further action. Again, reinforcing this idea that this is really about politics, not antitrust. It is striking. You look at the states that have sued, all 12 of them have a democratic attorney general. It's hard to not see this based on that data point as at least somewhat politically inclined. And I'm not saying that that actually takes away from the merit of the lawsuit, but it does seem like that's a lot of what this is about. We know that the Ellicens have gotten closer and cozier with the president. We know that the president has said nice things about David Ellicen and called him a great guy. He's called Larry a great guy too, his dad. So I mean, to what extent do you think this really is about politics, about having something like CNN, another important cable asset under the control of a guy who seems to be at least close with the president. I mean, there's a terrible irony in the fact that David Ellison donated Joe Biden's reelection campaign, donated a huge amount of money. This is a guy who was historically a Democrat. Now, of course, I haven't asked him what his political ideology is today, and any number of observers can look at what he's done to CBS or the hires he's made and gone, well, maybe he's not a Democrat anymore.

But I would actually argue that the politics of the case really do matter. If you look at other situations where the states have intervened, thinking about live nation to break up the ticketing giant, or in a situation where HPE bought this company called Juniper, you actually had a bipartisan coalition of attorneys generals from the state sue to try and break up or stop those mergers. Here, where it becomes inherently political and problematic is in who and why they've brought this suit. Because, again, on the face of it, Bonta Elizabeth Warren and Chris Murphy and others in this coalition have laid it out in no uncertain terms, right? This is a fight between people who

are aligned with Trump and not aligned with Trump. It is a very political situation. Does that have a bearing on the law? It shouldn't, but of course it will and it does. Just thinking about how the shareholders feel about all of this. Not great. Not great.

Paramount stock is down 25%. Warner Brothers Discovery stock is down 5%. I mean, yeah, how do the shareholders feel about this? And do they have a say in what will be a transformative decision in moment for the company? No, they are long for this ride, whether they like it or not. Now, Zaslaw, David Zaslaw, that's the CEO of Warner Brothers, of course. in remarks at employee town hall, did say, you know, look, if this deal does get broken up, we'll go back to running our business and we'll figure out from then. Remember, before they started this process, Warner Brothers had been on the road to a split. Akin to what you and I talked about last time, Comcast has done. The problem, of course, becomes that's very little consolation for shareholders. This is not a stock that should trade at the levels that it has. It has been inflated by greed, by ego, by David Ellison, sort of limitless pockets and desire to build a media empire.

Take that away and the stock will, of course, plummet investors will rotate out. This will very well become a dead man walking or a private equity takeout or what have you. So shareholders have very limited recourse. Now, of course, what they can do, and you'll see this in contested situations, is put public pressure on the AGs, whether that's hiring their own lobbyists, engaging their own consultants, launching grassroots campaigns. Again, these are sophisticated hedge funds that will use any and all tools at their disposal to get a deal done. But it's really going to come. down to, and we have no doubt that David Ellison will execute on this, Paramount's ability to fill their fiduciary duties under the merger agreement. Now you'll recall there are multi-billion dollar break fees associated with this merger. Those are not things that anyone wants to pay out of hand. So that's one motivator. The other motivator, as we know, is David Ellison really, really wants these assets. Really, really wants these assets. And so he is extremely motivated from conversations with people around him and around the company to get this done at any cost. Even if that means, as we reported last week, leaving California all together. I mean, all options are on the table for this guy to get the deal across and to make it clear to the states, hey, don't don't mess with

us here. Final question. And you know what's coming. Prediction. Yeah. How does this all pan out? Do the Ellicens pull it off before September? What do you think? I think they do. Before September, I think. I'll back up then. Do they pull it off? They pull it off. I don't know if it'll be by September, but look.

I think never say never. We are never going to spend anything off or offer any concessions to the states. We're going to fight this to the ground. We'll see how they feel when they're on their hook for 600 million, right? That looks very different. I think they get this done, whether it is through a structural remedy, right, getting rid of the cable assets, getting rid of a studio, getting rid of CNN, or by litigating this all the way up to the Supreme Court, which Macon Del Riem, the chief legal officer at Paramount, the former antitrust chief under Trump 1.0, has said they are going to do. So my money is on the L-sins and on Paramount. This is based not just on my opinion, but conversations I've had with other media CEOs, with bankers, with lawyers, with people around this.

But it's going to be a long slog, and it's not going to be fun for shareholders at all. So, you know, buckle up. It's even had its credit rating downgraded to triple B minus. That's just one rung away from junk status. But yesterday, the company got even more bad news. The state authority of Wisconsin, where Oracle is looking to build a massive one gigawatt data center, just demanded that Oracle pay a collateral bill worth 7 billion. Why? Well, largely because of Oracle's shitty credit rating. Oracle borrowed 43 billion to build data centers over the past year. That's against its 67 billion in revenue. But revenue doesn't pay debt down. Free cash flow does. And Oracle's free cash flow is negative. It burned roughly 24 billion over the same period. So taking on record debt while running negative cash flows, well, That is a great recipe for a default, which means that every time anyone agrees to loan Oracle money, they are now taking on an increased level of risk, which means they must now charge Oracle higher interest rates to compensate for that risk. The result.

higher borrowing costs and a 7 billion collateral bill, which will cost Oracle more than 100 million a year. We have said it before, we will say it again, bubbles aren't built with equity, they are built with debt. And increasingly,

the AI build out is becoming reliant. on debt. Oracle is the company most obviously in the danger zone, and that's why the markets are now flashing red. But let's be clear, it isn't alone. An estimated 489 billion of AI-related debt has been issued this year. And the hyperscalers, such as Oracle, account for only 40% of that number. In other words, there is a lot more risk lingering beneath the surface right now. The question is where? OK.

That's it for today. This episode was produced by Claire Miller and Alison Weiss, and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Shalon, Kristen O'Donoghue, and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to Profty Markets from Profty Media. If you liked what you heard, give us a follow. I'm Ed Elson. I will see you tomorrow. Running a business shouldn't feel like surviving a software group project. One app for accounting, another for inventory, another for sales, and somehow, none of them talk to each other. That's where Odo comes in. An all-in-one business management software that brings every part of your business together. From sales and accounting to inventory and marketing, all in one powerful platform. No messy integrations, no bouncing between tabs, and best of all, no spreadsheets. Stop managing software and start managing your business with one unified system. Try for free today at odu.com slash vox. That's odo.com slash vox.